

VEDI NEWSLETTER OF OCTOBER 10, 2023

[doc. web n. 9936215]

Provision of September 14, 2023

Register of provisions

n. 405 of September 14, 2023

THE GUARANTOR FOR THE PROTECTION OF PERSONAL DATA

IN THE meeting today, attended by
Prof. Ginevra Cerrina Feroni, Vice President,
Dr. Agostino Ghiglia and Attorney Guido Scorza,
members, and Dr. Claudio Filippi, Deputy
Secretary General;

HAVING REGARD to Regulation (EU) 2016/679 of the European Parliament
and of the Council, of April 27, 2016, concerning
the protection of natural persons with regard to
the processing of personal data, as well as the free
movement of such data and repealing Directive
95/46/EC (General Data Protection Regulation, hereinafter "Regulation");

HAVING REGARD to the Code regarding the protection of personal data
(decree law June 30, 2003, n. 196), as
amended by decree law August 10, 2018, n. 101, containing
provisions for the adaptation of the national
legal system to the aforementioned Regulation (hereinafter
"Code");

HAVING REGARD to the documentation on file;

HAVING REGARD to the observations made by the Secretary
General pursuant to Article 15 of the Guarantor's
Regulation n. 1/2000, adopted by resolution of June 28, 2000;

REPORTING Dr. Agostino Ghiglia;

1. THE INSTRUCTIONAL ACTIVITY CARRIED OUT

1.1. Premise

By act of May 30, 2023, n. 85654/23 (notified
on the same date via certified email),
which must be understood as fully referenced and
reproduced here, the Office initiated, pursuant to Article
166, paragraph 5, of the Code, a proceeding for

the adoption of the measures referred to in Article 58, paragraph
2, of the Regulation against GFB One s.r.l.,
(hereinafter "GFB" or "the Company"), represented by
the legal representative pro tempore, with registered office in
Pomigliano d'Arco (NA), via Passariello n. 103, tax code
09432761212.

The proceeding originates from an investigation
initiated by the Authority following the receipt of
a report from Mr. XX against the telecommunications company Vodafone Italia S.p.A.: the
reporter complained about the unlawful activation in his
name of two SIM cards by the sales network
of the telecommunications company, an activation that had
been notified to him with the sending of two emails and

an SMS message. Mr. XX, after contacting the telecommunications company to block the new accounts, independently conducted some checks from which it emerged that both numbers had been activated by a Vodafone store located in Marano di Napoli (NA), at via Vincenzo Merola 51, and that for the related charges an inexistent bank account had been indicated, traceable, based on the IBAN code, to a branch of Monte dei Paschi di Siena located in Treviglio, not far from the reporter's place of residence.

The reporter also stated that he had reported the incident to the Treviglio Police Station.

At the time of the report, he had produced the identification and activation forms for prepaid SIMs provided, at his request, by Vodafone and related to the contested activations, from which it was evident that they had been carried out at the aforementioned commercial establishment in Marano di Napoli, by the company GFB One s.r.l.

The telecommunications company, after a further request from Mr. XX, confirming that it had deactivated the accounts, sent a copy of the identity document used for the activation which, although poorly legible, was indeed a copy of the identity card in the possession of the interested party,

who in any case had represented in the report that he had never been to Naples, had never activated the aforementioned telephone cards, and had never lost possession of his document.

1.2. The requests for information made by the Authority

The Office proceeded to initiate the investigation, despite the interested party not having deemed it appropriate to use the complaint tool pursuant to Article 77 of the Regulation, as the elements brought to the attention of the Authority appeared worthy of further investigation, and proceeded to send Vodafone a request for information pursuant to Article 157 of the Code.

In its response, Vodafone confirmed that it had provided correct information to the interested party regarding the matter since July 25, 2022, and had subsequently sent him copies of the identification documents associated with the activation of the two SIMs. Vodafone stated that it had also initiated the sanctioning process against the dealer GFB, which had activated the unknown SIMs, and highlighted how, based on the checks carried out, the copy of the document used by the unknown activator of the SIMs reproduced the same identity card of the reporter but it had to be excluded that such a copy had been acquired from a

file in the possession of Vodafone related to a practice from 2021.

Also in light of the counterarguments of the interested party (who highlighted the contradictory nature of the information provided by Vodafone regarding the deletion of the personal data of the interested party and the origin of the documents associated with the activation of the two SIM cards), the Office sent a new request for information to Vodafone regarding the methods of acquisition of the data and images of the identification documents of customers, as well as on the methods

of verification of the maximum number of SIMs that can be activated for each customer, on the control procedures for the actions of dealers, and on any control activities carried out against the company GFB. A request for information pursuant to Article 157 of the Code was also sent to GFB, in order to acquire useful elements for a complete evaluation of the case, with particular reference, among other things, to the operational procedures followed by the dealer for the activation of SIMs and the identification of customers, to the information related to the activation of the SIMs contested by Mr. XX, and to the methods of acquiring a copy of the identity document of the latter (since, as already noted, the documents indicated that the document had always remained in the possession of the notifier who had never traveled to Campania, highlighting that for the activation of the two SIMs only a copy was presented, and moreover, by a person different from the interested party). Vodafone responded within the terms, stating that the telephone company provides its dealers with online update forms on the procedures for activating SIMs, with particular attention to the measures to implement the provisions of the so-called "Pisanu Law" (Law No. 155 of July 31, 2005, converting Decree-Law No. 144 of July 27, 2005) regarding customer identification for the activation or replacement of a SIM, measures that require the presentation of a valid identity document. Vodafone also highlighted that it had blocked the data of the interested party present in its systems since November 30, 2022. Finally, Vodafone, in stating that it had adopted a double level of monitoring for the activities of retail points, evaluating the correctness of the actions through performance indicators and detailed analysis of individual cases, confirmed that it had sent a formal warning with a penalty of 1,000 euros to the company GFB, responsible for the activation of the two SIMs in the name of Mr. XX, as the dealer had not scrupulously followed the customer identification procedures imposed by the Company.

As for GFB, the Company did not provide any response to the request for information sent by the Authority, despite the fact that the consequences, including potential sanctions, to which it could be subject in case of non-response were clearly highlighted in the same.

1.3. Contestation of Violations

The Office, at the conclusion of the investigation, adopted the aforementioned act of contestation No. 85654/23 against GFB. In the act, first of all, the position of the telephone company Vodafone Italia S.p.A. was examined, highlighting that the conduct carried out by it in the case in question and at the current state of the documents did not appear to be unlawful or otherwise in contrast with the principles regarding the protection of personal data, since, as soon as it became aware of the unlawful activations, the telephone company blocked the SIMs, in order to prevent use by unidentified subjects. It then definitively deactivated the aforementioned SIMs and initiated procedures aimed at ascertaining and sanctioning the actions of the dealer who had materially carried out the activations. Furthermore, it emerged that Vodafone has fully guaranteed the exercise of the rights that Regulation (EU) 2016/679 (hereinafter "Regulation") attributes to the interested parties, as, at the request of Mr. XX, it transmitted to him first the forms used for the activation of the SIMs, then the copies of the identity document attached to the forms, and finally, again at the request of the interested party and in accordance with company procedures, arranged for the blocking of his data also in order to prevent any further unlawful uses.

More generally, it should be noted that the matter brought to the attention of the Authority did not

reveal any "systemic" anomalies or elements that would allow attributing, against the telephone company, forms of culpa in vigilando with reference to the actions of the dealers. Vodafone's conduct, therefore, both in the phase prior to the activation of the SIMs by GFB and in the subsequent phase, does not appear to be attributable to any hypotheses of liability.

As for GFB, in the act of contestation, it was represented how the Company activated the SIM cards later disowned by the notifier without properly verifying the identity of the requester, acquiring only a simple paper copy of the identity document and failing to carry out further checks on the actual identity of the interested party. It was also noted that GFB did not provide any response to the Authority's requests for information, aggravating the investigation times and preventing the interested party, Mr. XX, from acquiring important elements regarding the unlawful use of his identity document and personal information.

The Office, therefore, contested to GFB the following hypotheses of violation:

- a) Article 5, paragraph 1, letter a), and 6 of the Regulation, for having processed the personal data of the interested party in violation of the principle of lawfulness and in the absence of an adequate legal basis;
- b) Article 13 of the Regulation, for having failed to provide the interested party with the necessary information provided therein;
- c) Article 157 of the Code, for having failed to provide the Authority with the requested information and documents with note dated December 30, 2022, notified to the digital domicile of the Company.

2. DEFENSIVE MEMORANDUM OF GFB AND EVALUATIONS OF THE AUTHORITY

With note dated June 30, 2023, the Company GFB has...

produced a defensive memorandum pursuant to Article 166, paragraph 6, of the Code and Article 13 of the Internal Regulation of the Guarantor No. 1/2019, however submitted late as the 30-day deadline indicated in the aforementioned provisions commenced on June 29, 2023. For the sake of completeness, the arguments presented by the Company are noted in full: "firstly, it should be pointed out that the communication that this esteemed Authority claims to have sent via certified email on December 30, 2022, has not been received by the undersigned: for this purpose, please verify the correct receipt and inform this company. Regarding the merits of the matter in question, it should be noted that since the first request made by Vodafone based on the complaint of Mr. XX, this company promptly initiated a procedure aimed at clarifying the circumstances related to the incident, keeping Vodafone informed at each step. Essentially, [...], an incorrect procedure for customer identification occurred within one of our Points of Sale (PDV). The fact is that the PDV in question confirmed that in this case, the customer was identified using a photocopy rather than the original identity document. Following this verification, as promptly reported to Vodafone, this company sanctioned the PDV that did not comply with the protocol clearly indicated by the undersigned and, to date, followed by all other relevant PDVs. Following the incident, in any case, all PDVs were reprimanded regarding the importance of complying with what is required not only by the relevant legislation but also by the mandate signed with the esteemed Vodafone S.P.A." The arguments put forth, albeit late, by GFB are not sufficient to exclude the Company's liability regarding the alleged violations.

From the documents, the statements of Mr. XX, and those of Vodafone, it is fully confirmed that GFB, which operates as a sales agent for the telecommunications company, activated two telephone lines in the name of the complainant, who subsequently disavowed them, without adhering to the procedures of the data controller for the correct identification of the customer. In fact, to prove the identification of the customer, GFB attached to the activation request forms a copy of the identity document in the possession of Mr. XX, who, however, also stated during the complaint to the Judicial Police that he had never lost possession of it. Moreover, Mr. XX, residing in the province of Bergamo, also declared that he had never traveled to Campania, where GFB conducts its commercial activities. Additionally, GFB One reported incorrect indications of the IBAN code (formally correct but actually non-existent) of the credit institution where the SIM charges were to be made. From these circumstances, it is confirmed what was represented in the initiation document regarding the fact that GFB activated the contested SIM cards without having properly verified the identity of the applicant, acquiring only a simple paper

copy of the identity document and failing to conduct further checks on the actual identity of the applicant.

Regarding the identification of GFB's role, it is necessary to first recall the general provision concerning unsolicited telephone services, adopted by the Authority on February 16, 2006, and published in the Official Gazette No. 54 of March 6, 2006 (at www.gpdp.it, doc. web No. 1242592), in the part where it highlights that "agents and resellers are considered autonomous data controllers of the data used for the activation of services when, based on the modalities of their activity, they exercise a real and completely autonomous decision-making power over the methods and purposes of the processing carried out in their own sphere," and then, among others, the provision adopted against a Vodafone dealer operating in the province of Brescia (prov. No. 293 of May 13, 2015, at www.gpdp.it, doc. web No. 4210697), where it is stated that "with reference to the operations aimed at activating telephone cards in the absence of the account holder and without acquiring a valid document from them, the company has carried out personal data processing exercising a completely autonomous decision-making power independent of the provisions that bound it to the telephone operator and the Master dealer, assuming the legal status of data controller, as outlined in the aforementioned provision of the Guarantor of February 16, 2006." This last provision was subjected to the scrutiny of the First Civil Section of the Court of Cassation which, with Order No. 21234 of July 23, 2021, reiterated "that only the subject who has been entrusted with the processing by the 'controller' and who has adhered to the instructions given by them in the exercise of their decision-making power can assert the status of 'data processor'; it follows that if this does not occur, the 'processor' may be recognized as the 'controller' in practice of the processing, due to the decision-making and managerial autonomy manifested even by disregarding the provisions of the 'controller'." Therefore, confirming the data processing responsibility in question rests with GFB, the conduct of the Company as emerged from the investigation results in a violation of the provisions of the Regulation regarding information, as the Company processed the personal data of Mr. XX without providing him with the necessary information pursuant to Article 13, as well as a violation of the provisions regarding the adequacy of the legal basis for processing, as the use of the identifying data and personal documents of the data subject was carried out without the latter being aware of it and without having expressed the intention to finalize a contract for the activation of SIM cards.

The statements made, albeit belatedly, by the Company regarding the circumstance that the violation would have been materially committed by an employee who would have independently deviated from the provisions of GFB are of no relevance. In fact, the Company, in addition to not having revealed the specific factual circumstances that led to the improper activation, has also failed to describe the measures and precautions usually taken to ensure that its employees correctly carry out the customer identification activities under the direct authority of the Company itself, beyond the generic and undocumented claims regarding the sanctions and reprimands that would have reached the personnel of the commercial establishment.

Finally, the Company has failed to respond to the request for information and the presentation of documents made by the Guarantor, resulting in an increase in the procedural obligations and a slowdown in administrative action. This circumstance emerges from the records, as the Office sent the request for information specifying that a lack of response could lead to the application of administrative sanctions.

Even in this case, the late defensive arguments aimed at excluding the receipt of the request for information sent by the Authority appear contradicted by the acceptance and delivery receipts of the correspondence present in the records, and, in this regard, it must be reiterated that the request was sent to the certified email address of GFB as it appears in the information system of the Chambers of Commerce and that Legislative Decree 76/2020 (so-called "simplification decree"), converted with amendments by Law 120/2020, has qualified, in Article 37, the certified email address of companies as a "digital domicile" valid for electronic communications with legal value.

Therefore, GFB's responsibility for the violations contested in sections a), b), and c) must be

confirmed.

3. CONCLUSIONS

Based on the above, GFB's responsibility for the following violations is deemed established:

- a) Article 5, paragraph 1, letter a), and 6 of the Regulation, for having processed the personal data of the data subject in violation of the principle of lawfulness and in the absence of an appropriate legal basis;
- b) Article 13 of the Regulation, for having failed to provide the data subject with the necessary information therein provided;
- c) Article 157 of the Code, for having failed to provide the Authority with the information and documents requested by note dated December 30, 2022, notified to the digital domicile of the Company.

Also established is the unlawfulness of the Company's conduct concerning the treatments examined, making it necessary to:

- impose on GFB, pursuant to Article 58, paragraph 2, letter f) of the Regulation, the prohibition of any further processing of the data of the notifier;
- adopt an injunction order, pursuant to Articles 166, paragraph 7, of the Code and 18 of Law No. 689/1981, for the application against Vodafone of the administrative pecuniary sanction provided for by Article 83, paragraphs 3 and 5, of the Regulation.

4. INJUNCTION ORDER FOR THE APPLICATION OF THE ADMINISTRATIVE PECUNIARY SANCTION

The violations indicated above necessitate the adoption of an injunction order, pursuant to Articles 166, paragraph 7, of the Code and 18 of Law No. 689/1981, for the application against GFB of the administrative pecuniary sanction provided for by Article 83, paragraphs 3 and 5, of the Regulation (payment of an amount up to € 20,000,000.00);

For the determination of the amount of the sanction, it is necessary to take into account the elements indicated in Article 83, paragraph 2, of the Regulation;

In the case at hand, the following are relevant:

- 1) the seriousness of the violations (Article 83, paragraph 2, letter a) of the Regulation), taking into account the subject matter and purposes of the data processed, as well as the conduct attributable to the overall phenomenon of unlawful activation of telephone cards, potentially capable of creating further and much more alarming illicit effects and constituting an obstacle to the activities of prevention and repression of crimes, including those of an associative nature;
- 2) as an aggravating factor, the willful nature of the violation (Article 83, paragraph 2, letter b) of the Regulation), as emerged from the reconstruction of the facts and the conduct carried out that exclude the merely negligent nature of the violation, given that the dealer certainly disregarded the telephone company's provisions regarding the necessity of identifying the SIM applicant, proceeded to acquire a copy not of an original document but of a simple photocopy, and did not carry out further checks on the entirety of the data provided by the unknown applicant;
- 3) as an aggravating factor, the lack of initiatives by GFB aimed at mitigating the damage suffered by the data subject (Article 83, paragraph 2, letter c) of the Regulation);
- 4) as an aggravating factor, the lack of cooperation with the Authority (Article 83, paragraph 2, letter f) of the Regulation);
- 5) as a mitigating factor to be considered for calibrating the sanction (Article 83, paragraph 2, letter k) of the Regulation), the data relating to the economic capacity of the Company, as derived from the latest available financial statement (2022).

Based on the overall elements mentioned above, and the principles of effectiveness, proportionality, and deterrence provided for in Article 83, paragraph 1, of the Regulation, and taking into account the necessary balancing between the rights of the data subjects and the freedom of enterprise, also in order to limit the economic impact of the sanction on the organizational and functional needs of the Company, it is deemed that an administrative sanction of a payment of €90,000, equal to 0.45% of the maximum administrative fine, should be applied to GFB.

In this case, it is considered that the accessory sanction of publication on the website of the Authority

of this provision, as provided for in Article 166, paragraph 7 of the Code and Article 16 of the Regulation of the Authority No. 1/2019, should be applied, taking into account the nature of the processing and the conduct of the Company, as well as the risk elements for the rights and freedoms of the data subjects.

Finally, the prerequisites of Article 17 of Regulation No. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers delegated to the Authority, are met.

ALL OF THE ABOVE, THE AUTHORITY

a) imposes on GFB, pursuant to Article 58, paragraph 2, letter f) of the Regulation, the prohibition of any further processing of the whistleblower's data;

b) orders GFB, pursuant to Article 157 of the Code, to communicate to the Authority, within thirty days from the notification of this provision, the initiatives undertaken in order to implement the imposed measure; any failure to comply with the provisions of this point may result in the application of the administrative pecuniary sanction provided for in Article 83, paragraph 5, of the Regulation.

ORDERS

GFB One s.r.l., represented by the legal representative pro tempore, with registered office in Pomigliano d'Arco (NA), via Passariello No. 103, tax code 09432761212, to pay the sum of €90,000.00 (ninety thousand/00) as an administrative pecuniary sanction for the violations indicated in the reasoning, representing that the offender, pursuant to Article 166, paragraph 8, of the Code, has the option to settle the dispute by complying with the prescribed measures and paying, within thirty days, an amount equal to half of the imposed sanction.

ORDERS

the aforementioned Company, in case of failure to settle the dispute pursuant to Article 166, paragraph 8, of the Code, to pay the sum of €90,000.00 (ninety thousand/00), according to the methods indicated in the annex, within 30 days from the notification of this provision, under penalty of the adoption of subsequent enforcement actions in accordance with Article 27 of Law No. 689/1981.

PROVIDES

for the application of the accessory sanction of publication on the website of the Authority of this provision, as provided for in Articles 166, paragraph 7 of the Code and 16 of the Regulation of the Authority No. 1/2019, and the annotation of the same in the internal register of the Authority - provided for by Article 57, paragraph 1, letter u), of the Regulation, as well as by Article 17 of Regulation No. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers delegated to the Authority - relating to the violations and measures adopted in accordance with Article 58, paragraph 2, of the same Regulation.

Pursuant to Articles 152 of the Code and 10 of Legislative Decree No. 150/2011, an appeal against this provision may be filed with the ordinary judicial authority, with a petition submitted to the ordinary court of the place where the data controller has its registered office, within thirty days from the date of communication of the provision itself.

Rome, September 14, 2023

THE VICE PRESIDENT

Cerrina Feroni

THE REPORTER

Scorza

THE VICE SECRETARY GENERAL

Filippi